



A SECOND OPINION, PLEASE

The Leak business model

Weekly profit-leak reports for independent cafés.

Prepared for my accountant, for an honest read on whether it holds up.

From Mel · The Service Edit · July 2026

The product is one sentence

“Every Monday, know exactly where your profit leaked.”

WHO

Independent cafés: owner-operators, thin margins, no CFO.

JOB

Turn messy POS, roster and supplier data into a plain-English weekly read on where money is leaking, and what to do about it.

EDGE

Built by an operator: 21 years in hospitality, ~10 years owning cafés. Not generic accounting software; hospitality-specific benchmarking.

We get paid to acquire our customers

Most software pays to acquire a customer, then hopes to earn it back. Leak inverts that: the paid audit is the front door, so acquisition is cash-positive on day one. The subscription is the actual business, and it compounds behind it.

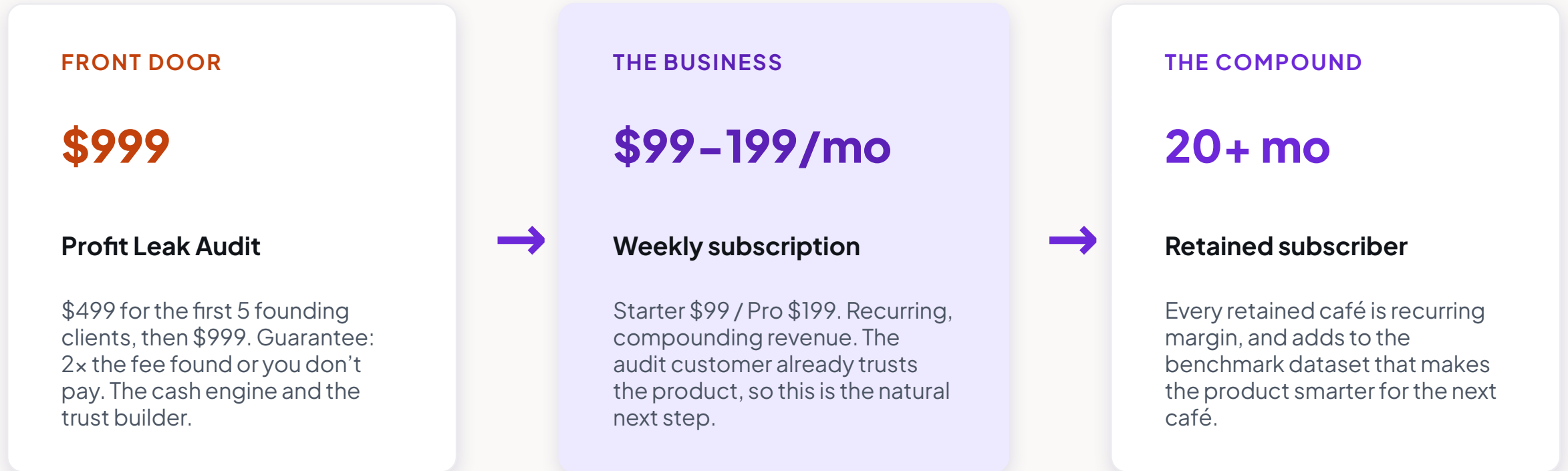
TYPICAL SaaS

- Pay for ads / sales to acquire
- Negative cash on each new customer
- Win back slowly through subscription
- Growth needs funding up front

LEAK

- Audit is sold, so acquisition is revenue
- Cash-positive on the very first sale
- Audit proves value, then converts to subscription
- Growth can self-fund from audit cash

Two revenue streams, one funnel



The number that decides everything is the audit-to-subscription conversion rate. That single lever turns a well-paid consulting gig into a compounding software business.

What one audit customer is worth

\$999

Standard audit cash, up front

+ \$1,040

Expected subscription value per audit (40% convert × \$2,600 lifetime)

= \$2,039

Total expected value per audit customer

Standard audit is \$999; the first 5 founding clients pay \$499. How the \$2,600 lifetime is built: \$130 blended monthly subscription × ~20-month average life (5% monthly churn). Delivery cost is essentially Mel's time, not cash, so the audit is close to all-margin. Every figure here is an assumption you can push on; the next slide lists them plainly.

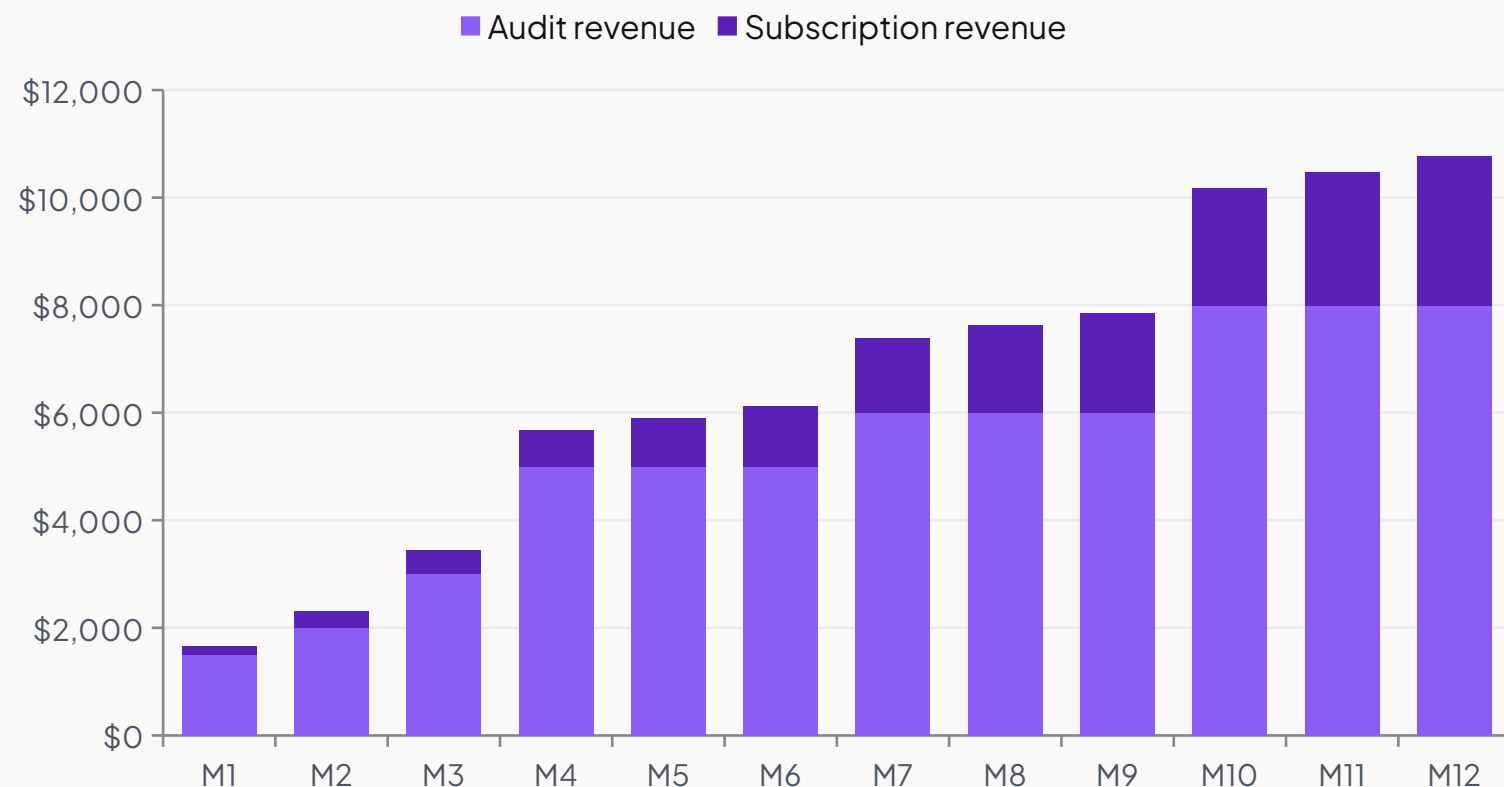
ASSUMPTIONS TO CHALLENGE

Every number rests on these

Kept deliberately conservative and labelled. The two tinted rows are the ones the whole model hinges on.

ASSUMPTION	BASE CASE	NOTE
Audit price	\$499 → \$999	First 5 founding clients at \$499, then \$999 standard.
Audit-to-subscription conversion	40%	KEY LEVER. Unproven at scale, my biggest assumption.
Blended subscription	\$130 / mo	Mix of Starter \$99 and Pro \$199, skewed to Starter.
Monthly churn	5%	KEY LEVER. Implies ~20-month average customer life.
Delivery cost	≈ Mel's time	No material cash COGS; the real cost is founder hours.
Audits/month (Yr 1)	3 to 8	Ramps as demand and capacity build. Solo = the ceiling.

What Year 1 looks like on these numbers



66

audits delivered in Year 1

\$63.4k

audit revenue (cash)

\$33.3k

ARR run-rate exiting Year 1

\$79.3k

total Year-1 revenue

Modest by design: audit cash funds the business, while recurring revenue compounds underneath.

SENSITIVITY

The model lives or dies on two numbers

End-of-Year-1 monthly recurring revenue (MRR), as conversion and monthly churn move. Same audit volume in every cell.

	Churn 3%	Churn 5%	Churn 8%
Conversion 25%	\$1,885	\$1,735	\$1,539
Conversion 40%	\$3,015	\$2,775	\$2,463
Conversion 55%	\$4,146	\$3,816	\$3,386

Purple = base case. Even the pessimistic corner (25% convert, 8% churn) still builds recurring revenue on top of profitable audit cash, so the downside is “slow”, not “broke”. That asymmetry is the case for the model.

The honest risk list

- 1 Key-person dependency**

Mel delivers every audit today. Fine at 20 cafés, a ceiling at 200. Everything I know has to become product.
- 2 Conversion is unproven**

The whole model leans on audit-to-subscription. I have a strong thesis, not yet a track record.
- 3 Churn is a guess**

20-month life is assumed, not observed. If cafés close or drop off faster, LTV falls quickly.
- 4 Single-founder capacity**

Audit volume is capped by my hours until delivery is systematised or delegated.
- 5 Structure & tax**

Service revenue plus SaaS revenue in one entity: I want your view on structure, GST and deductibility.



WHAT I'D VALUE YOUR VIEW ON

Five questions for you

- 1 Does the audit-as-front-door logic hold up financially, or am I flattering it?
- 2 Are my conversion (40%) and churn (5%) assumptions sane, or should I stress them harder?
- 3 How should I structure service and subscription revenue: one entity, GST, deductibility?
- 4 At what point does key-person dependency become a real financial risk worth solving?
- 5 If you were pricing this business, what would you want to see proven first?